SUPERSTORE EXECUTIVE PERFORMANCE REPORT

BUSINESS INTELLIGENCE & STRATEGIC STORYBOARD

TOTAL SALES	TOTAL PROFIT	TOTAL ORDERS	AVG. DISCOUNT	PROFIT MARGIN
$2,297,200.86	$286,397.02	5,009	15.62%	12.47%

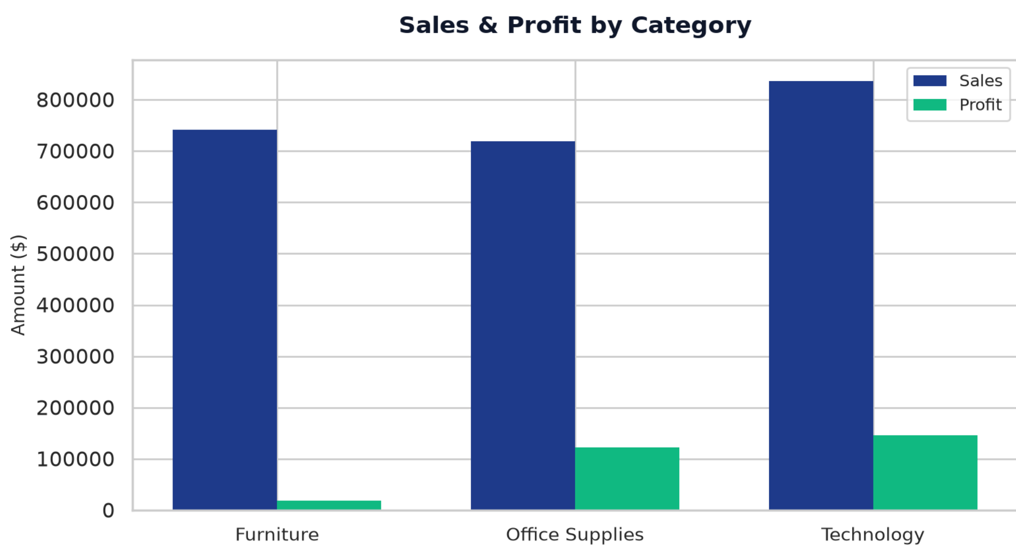
Executive Summary

This report provides a formal strategic assessment of Superstore's historical commercial operations. While the business has generated substantial revenue of **$2.30 Million** with an operating profit margin of **12.47%**, significant performance variations exist across product categories, geographic territories, and discount programs. This analysis identifies primary profit drivers, exposes critical revenue leakages, and outlines actionable executive recommendations to drive margin expansion.

1. Category Analysis & Profit Divergence

Superstore operations are segmented into three major divisions: Technology, Office Supplies, and Furniture. A deep dive reveals a striking disparity in performance:

- **Technology:** Generates the highest sales ($836k) and is our primary profit engine ($145k profit) at a **17.4% margin**, powered by exceptional performance in Copiers and Phones.
- **Office Supplies:** Serves as our steady cash cow with $719k sales and $122k profit, retaining a healthy **17.0% margin** due to low production costs and high transactional frequency.
- **Furniture:** While driving significant sales volume ($742k), it only captures $18.4k in profit, leaving a thin **2.5% margin**. This is a critical structural concern.



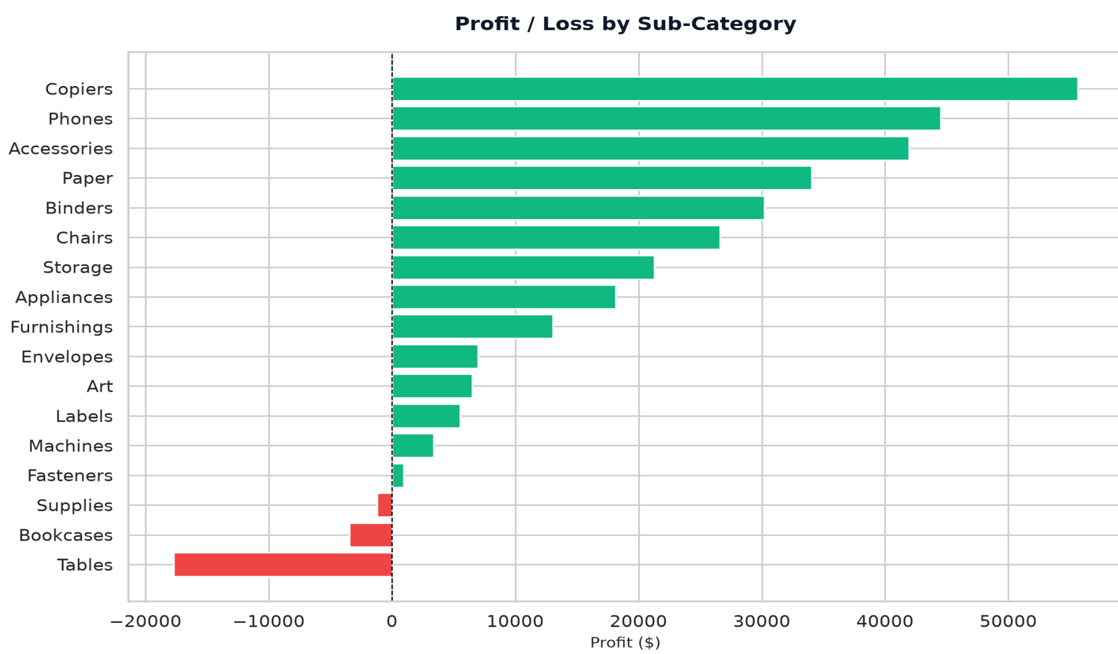
2. Regional Profitability Landscape

Geographically, performance is highly uneven. The West region leads in sales ($725k) and contributes the highest profit ($108k) at a **14.9% margin**. The East region follows closely with a 13.4% margin. Conversely, the Central region is our lowest-performing area, producing a profit margin of only **7.9%**. This underperformance in the Central region is primarily driven by hyper-competitive discount behaviors in major states like Texas, where aggregate profits are negative.

Region	Sales	Profit	Margin
Central	$501,239.89	$39,706.36	7.92%
East	$678,781.24	$91,522.78	13.48%
South	$391,721.91	$46,749.43	11.93%
West	$725,457.82	$108,418.45	14.94%

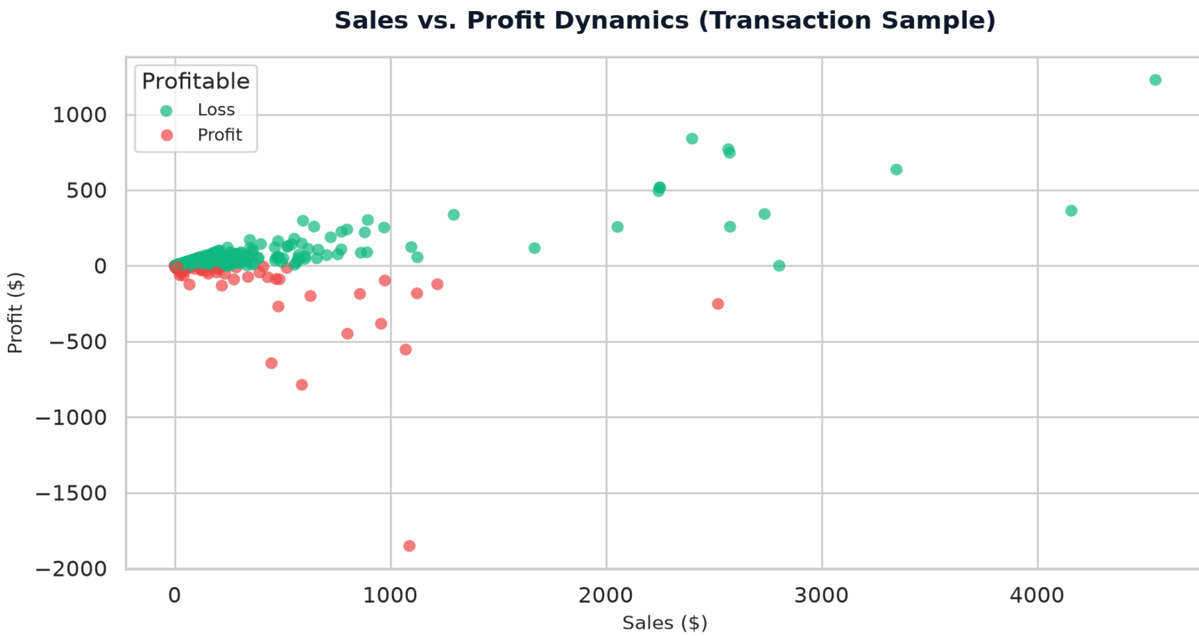
3. Sub-Category Leakage: Tables & Bookcases

When looking at individual product lines, Copiers and Phones represent our most profitable assets. However, we observe massive profit destruction in **Tables** (-$17.7k net loss) and **Bookcases** (-$3.4k net loss). This loss is not a result of low demand, but rather a direct consequence of aggressive promotional discounting.



4. The Mechanics of Discounting

Our data establishes a clear threshold: promotional discounts below 15% allow the business to maintain double-digit margins. However, any discount exceeding 20% leads directly to operating losses on the product line. Average discount levels in the Furniture category stand at 17.4%, which is far too high to support operational overhead.



5. Tactical Business Recommendations

1. Enforce Discount Caps on Furniture: Implement a hard cap of 15% on promotional discounts for Tables and Bookcases. Restrict sales reps from exceeding this cap without executive sign-off.

2. Capital Reallocation: Pivot marketing and inventory budgets from low-margin Furniture to high-margin Technology divisions (particularly Copiers and Accessories).

3. Central Region Freight Audit: Perform a detailed operational review of carrier contracts in the Central region to reduce shipping cost overhead.

4. Leverage Q4 Seasonality: Sales systematically peak in November and December. Inventory buffers should be established by October, with shipping capacity booked early to avoid holiday rate spikes.